



MICROSOFT

OUTPERFORM

PRICE* USD397.4 ■ TARGET PRICE **USD555** (UPSIDE 40%)

FLASH NOTE

Microsoft NYC NDR feedback – Copilot Takes Center Stage with big Q4 likely

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Research Analyst & Publishing Entities

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What happened?

On Wednesday, we hosted Microsoft's Investor Relations team in NYC for investor meetings. Below, we highlight some of our key takeaways from the investor discussions.

BNPP View:

Copilot was arguably the central topic of discussion, even more so than Azure, with much of the investor questions centered around what has been driving the recent acceleration in adoption and whether the Copilot business is approaching a new phase of monetization. **Microsoft highlighted that the Copilot product today is simply more capable than the product customers were evaluating 6 – 12 months ago**, while Microsoft has become increasingly effective at getting the newer Copilot capabilities into customers' hands. And recently announced deals such as with [NHS England for 500K seats](#) further reinforce that customers that initially began with smaller Copilot deployments are beginning to expand the rollout across their organizations. Microsoft also noted some FQ4 seasonality benefits with Copilot seat adds given the larger customer renewal cohort. **When coupled with positive commentary around rising customer usage, improvements to the core product, and a more mature GTM motion, our sense is that Microsoft could deliver FQ4 Copilot seats well above the current outlook for 25m+.**

Moreover, **Microsoft emphasized the evolving Copilot pricing model from seats to some form of seats and consumption**. While the company stopped short of announcing any changes to Copilot pricing, **Microsoft repeatedly referenced the evolution of GitHub Copilot from a seat-based offering toward a seats + consumption model** to better align monetization with the rising usage intensity as compute-heavy workflows began to emerge. **The company also suggested this thinking is increasingly being applied to the broader Copilot portfolio**. For example, with Copilot Cowork, long-running agentic capabilities are materially more compute intensive and the company does not want to find itself in a situation where usage (and COGS) scales faster than revenue.

We also found that the investor discussion focused on a growing chorus of company executives pushing back on the 'tokenmaxxing' phenomenon. **And Microsoft highlighted that the company is in an advantageous position as the company can provide customers with the tools that offer transparency into where tokens are being consumed and for which use cases**. Microsoft highlighted that it was seeing customers move toward 'eval maxxing.'

Regarding Azure, many of the questions centered around the rising GPU rental pricing backdrop (especially given the AI infrastructure component inflation) and capex plans. **On pricing, the company acknowledged it has several levers to offset some of the cost inflation including extracting further efficiency gains across the existing fleet** (silicon, model, and software layer optimizations), tighter customer discounting, and even offering higher priced SKUs over time (such as its recent Intel v7 SKU which carries a premium price point). However, **the company appeared reluctant to pursue broad list-price increases, citing both customer relationship considerations, competitive dynamics (will AWS / GCP offer more compelling pricing in response?), and the permanence of these decisions.**

Finally, **on capex, the company indicated there is no 'line in the sand' regarding a FCF threshold** that would limit its AI infrastructure investment, referring to the current opportunity as generational. Instead, spending levels will continue to be dictated by demand. On Microsoft's own frontier model ambitions, **the company reiterated its unique access to OpenAI IP remains a significant advantage.** Despite some investor concerns Microsoft's internal model efforts could require a level of investment comparable to OpenAI or Anthropic, **the company emphasized that its access to OpenAI's research IP provides a strong foundation to build upon, allowing Microsoft to potentially develop increasingly capable models without replicating the same level of frontier-scale compute investment required by the leading AI labs.** As for the future financing mix to fund Microsoft's capex, the company did not provide any indication that equity financing would become a larger component of the funding equation. However, the company did emphasize that each incremental dollar of investment across its portfolio must demonstrate a compelling returns profile. **And with the company indicating it is not necessarily looking to maintain a specific ownership stake in OpenAI, we view the stake as a potential source of funds that could offer greater balance sheet flexibility and could support future AI infrastructure investments if needed,** even if Microsoft continues to see the OpenAI partnership as strategic and core.

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD555)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Microsoft	MSFT US	2; 3; 4; 6; 7; 8; 9; 10

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Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

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ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

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As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

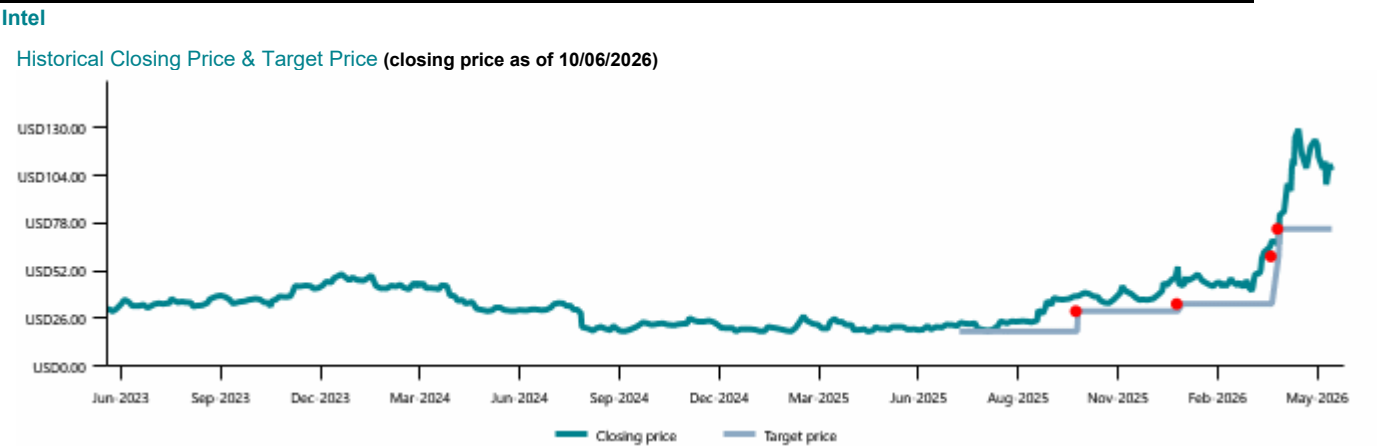
* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart



Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
24 Apr. 2026 00:46	=	USD75.00	USD82.54	TP up	D. O'Connor, O. Semprez, A. Moscona-Skolnik
20 Apr. 2026 21:12	=	USD60.00	USD68.50	Rating up, TP up	D. O'Connor, O. Semprez, A. Moscona-Skolnik
23 Jan. 2026 07:01	-	USD34.00	USD45.07	TP up	D. O'Connor, O. Semprez, A. Moscona-Skolnik
24 Oct. 2025 07:16	-	USD30.00	USD38.28	TP up	D. O'Connor, O. Semprez, A. Moscona-Skolnik
25 Apr. 2025 06:19	na	USD19.00	USD20.05	TP up	D. O'Connor, O. Semprez
31 Jan. 2025 12:07	na	USD18.00	USD19.43	TP down	D. O'Connor, O. Semprez, A. Moscona-Skolnik
1 Nov. 2024 06:34	na	USD20.00	USD23.20	TP up	D. O'Connor, O. Semprez
2 Aug. 2024 06:16	na	USD18.00	USD21.48	TP down	D. O'Connor, J. Ramel
26 Apr. 2024 05:41	na	USD29.00	USD31.88	TP down	D. O'Connor, J. Ramel
12 Feb. 2024 08:49	na	USD31.00	USD44.03	TP up	D. O'Connor, J. Ramel
28 Jul. 2023 05:55	na	USD28.00	USD36.83	TP up	D. O'Connor, J. Ramel

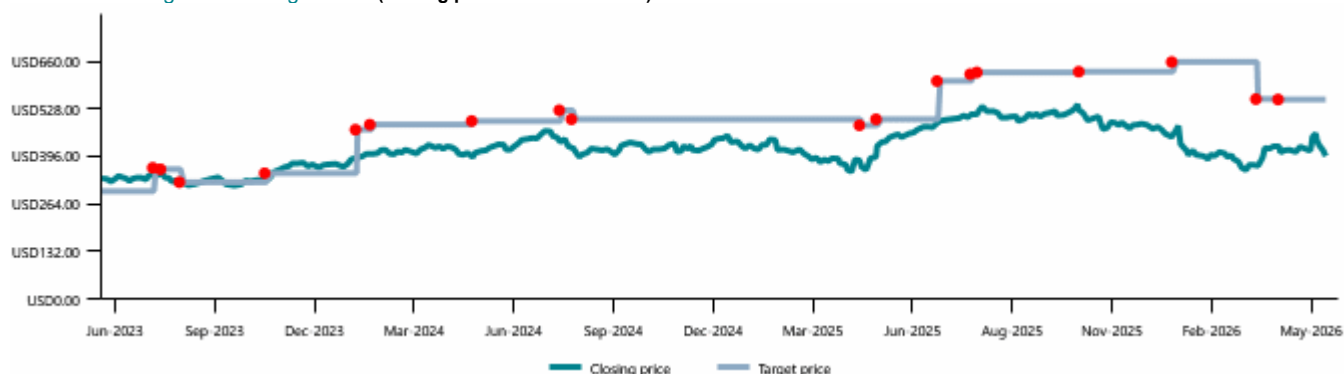
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Note:

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Microsoft

Historical Closing Price & Target Price (closing price as of 10/06/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
30 Apr. 2026 22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023 08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023 06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

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